



Bank Alfalah

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Case Study

The \$12 Billion Question

Key Terms — Quick Reference

Sukuk	Sharia-compliant financial certificates, often called "Islamic bonds"
AUM	Assets Under Management — the total value of investments a platform manages on behalf of clients
RDA	Roshan Digital Account — SBP's initiative letting overseas Pakistanis open bank accounts and invest remotely
Diaspora	The community of Pakistanis living and working abroad — estimated at 11 million people worldwide
Management fee	An annual percentage charged by an investment platform for managing a client's money (e.g., 1.5% of AUM)
FX spread	The small margin a bank earns when converting currency (e.g., USD to PKR) — typically 0.3–0.5%
Naya Pakistan Certificate	A government-backed investment instrument available exclusively to overseas Pakistanis, offering competitive returns

The Pitch That Prompted Reflection

Last Tuesday, the Head of CIBG at Bank Alfalah met 40 high-net-worth Pakistani professionals in Dubai. The proposition was "Alfalah Global Invest", a managed portfolio service that would allow overseas Pakistanis to invest in Pakistani government bonds, equities, and Sukuk through their Roshan Digital Account, supported by professional management and quarterly rebalancing.

The discussion revealed clear customer expectations. Participants compared Pakistan-linked returns with Gulf real estate, asked about more contemporary investment options, and repeatedly raised one concern: how would their wealth be protected if the rupee weakened further?

The CIBG team returned with a useful insight: overseas Pakistanis want to grow wealth with confidence while staying connected to home. The opportunity is to sharpen the proposition, strengthen risk communication, and design a product that reflects diaspora investors' financial reality.

The Opportunity

Pakistan's diaspora includes approximately 11 million people across the Gulf, the UK, the US, the EU, and other regions. They sent home USD 38.3 billion in remittances in FY25, with projections of USD 42 billion for FY26. Beyond remittances, the diaspora holds an estimated USD 30-50 billion in savings and investable assets.

The Roshan Digital Account program has created a strong foundation: more than 900,000 accounts have been opened since 2020, with inflows exceeding USD 12 billion. Most RDA balances remain in deposits or certificates, while a smaller portion flows into equities, mutual funds, or structured products. This creates space for Bank Alfalah to move from transaction-led banking to advice-led wealth solutions.

Bank Alfalah has approximately 72,000 RDA holders, around 8% of the total RDA market. CIBG expertise in government securities, Sukuk, equities, and structured products, combined with the Abu Dhabi Group connection and Gulf presence, gives the bank a strong platform to build a relevant diaspora investment proposition.

Market Landscape

The CIBG team has prepared the following market landscape. Study it carefully - the gaps in this table are where the opportunity lives.

Player	Product	NRP Base	Investment Options	Fees	Diaspora Reach
Conventional Bank A	RDA + Mutual Funds	~180K accounts	Govt securities, equities, mutual funds	1.0–2.0%	Strong (22 countries)
Conventional Bank B	RDA + UBL Funds	~120K accounts	Govt securities, mutual funds	1.0–1.5%	Moderate (12 countries)
Meezan Bank	RDA + Islamic	~95K accounts	Sukuk, Islamic mutual funds, NPCs	1.0–1.8%	Growing (Islamic focus)
Fintech Wallets	Spending only	Limited	No investment products	N/A	Digital-native but no AUM
Bank Alfalah	RDA + evolving proposition	~72K accounts	Govt securities, certificates; managed portfolio under review	N/A	UAE branch + Abu Dhabi Group connection

Note: RDA account numbers and fee ranges are market estimates based on publicly available data and industry reports.

Context for Your Analysis

1. Bank Alfalah has approximately 72,000 Roshan Digital Account holders.
2. CIBG has expertise in government securities, Sukuk, equities, and structured products; the proposed service would be its first retail-facing managed investment product for the diaspora.
3. Platform development is estimated at USD 850,000, with annual operating costs of approximately USD 500,000.
4. Similar products charge an average management fee of 1.5% of AUM. The bank may also earn approximately 0.5% on FX conversion at the point of investment.
5. Industry data suggests that 15% of RDA holders with investable surplus could convert if the proposition is compelling and easy to use. Average initial investment is estimated at USD 5,000.

Crunch the Numbers

The CIBG Head wants to know whether this product can pay for itself. Using the data above:

1. Calculate the addressable market: If 15% of Bank Alfalah's 72,000 RDA holders convert, and each invests an average of \$5,000, what is the total starting AUM?
2. Calculate Year 1 revenue vs. cost: The bank earns 1.5% management fee on AUM plus 0.5% FX spread on the initial investment (total: 2% of AUM in Year 1). The product costs \$850,000 to build and \$500,000 per year to run. Will the product break even in Year 1? If not, what AUM would be needed to break even?

Your Strategic Pitch

The Head of CIBG wants your team to redesign the product pitch for the next Dubai meeting - not just what the product looks like, but how it should be positioned, who it should target first, and what would make a skeptical diaspora investor say "yes."

Your pitch should address:

- What did the first conversation reveal about what diaspora investors value?
- Which segment should Bank Alfalah target first: Gulf workers, UK professionals, US technology diaspora, or Gulf high-net-worth investors? Why?
- Should the product be Pakistan-only, global, or blended? How would you address rupee risk?
- How would you make the economics work without simply increasing fees?
- What would you put on the opening slide to capture attention?

Present a sharp new pitch as a team. Your recommendation should be specific, commercially realistic, and compelling for overseas Pakistanis.

Note: Certain facts and figures in this case study have been fictionalized for contextual purposes and may differ from actual data.